

the course of your working life. This asset is called human capital, and though its precise numerical value might be hard to obtain and difficult to calculate, the fact remains that it's the best asset you have until well into your middle ages.

Figure 1.3 demonstrates the evolution of the ratio of this asset to total capital as we age. The figure illustrates that in the years when we think we are worth the least in pure financial terms, we are actually the wealthiest in terms of our human capital. Once again, you are wealthier than you think.

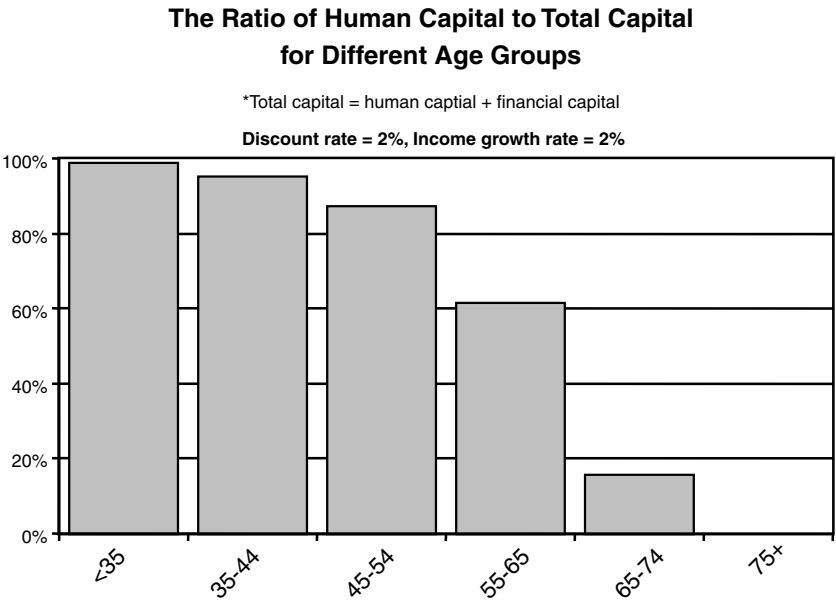


Figure 1.3 Even retirees can still work, if they want to.

Source: Baxter, M., "Social Security as a Financial Asset: Gender-Specific Risks and Returns," 1999: IFID Center calculations.

You may be thinking, what good is knowing the value of an asset that you can't immediately use, spend, or borrow against? But I argue that this is precisely the asset that you should take into account when making many of your financial decisions from your initial years of work to beyond retirement. At the very least, get into the habit of computing the value of your human capital each time you get an account statement from the bank, insurance company, or mutual fund listing